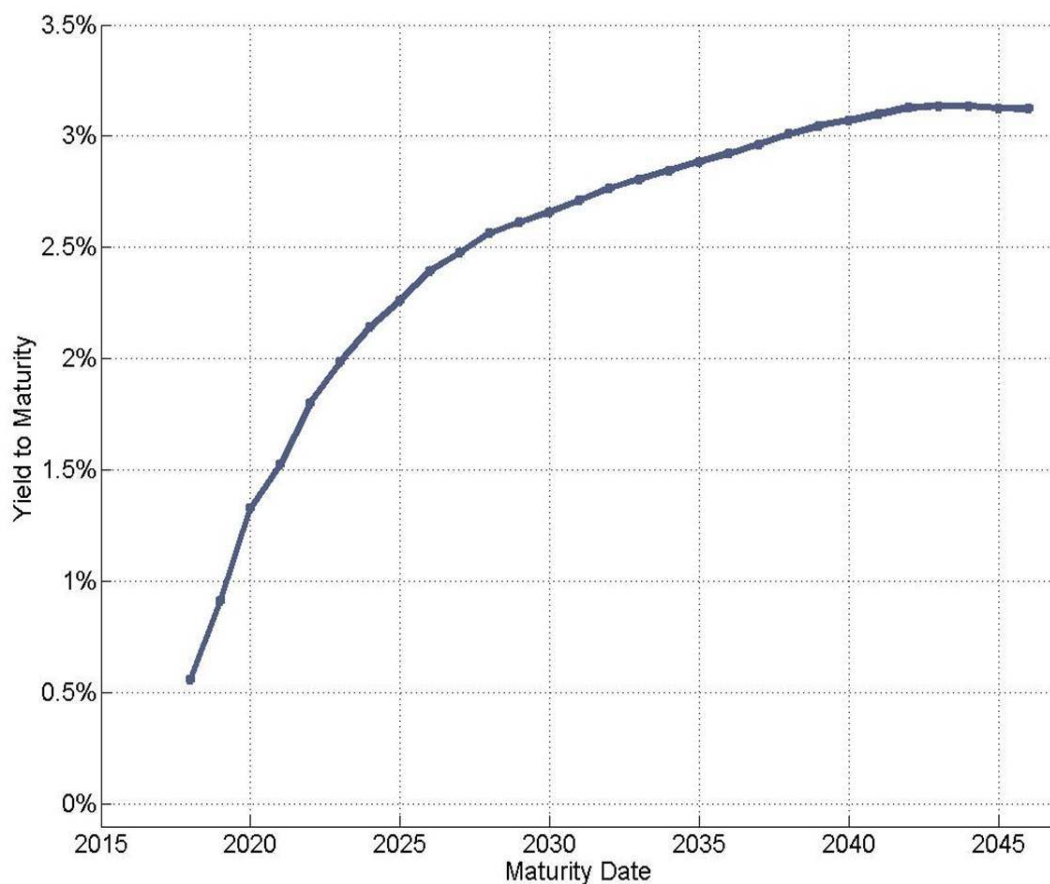


## The Yield Curve

Understanding the relationship between bond risk and time to maturity and duration of a bond provides the basis for understanding the bond yield curve. The yield curve shows the yields to maturity for a series of bonds—typically US Treasury bonds—with the same credit quality but different maturity dates, along with the term structure for interest rates.

### *Exhibit 7.3*

*Yield Curve for US Treasury STRIPS, January 3, 2017*



Source: *Wall Street Journal* Market Data Center.

Exhibit 7.3 shows the yield curve for Treasury STRIPS (Separate Trading of Registered Interest and Principal of Securities) from January 3, 2017.